Identity norms and the decision to work

The income-elastic breadwinner norm

Allegra Saggese[1]

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[1]UC Santa Cruz

Agenda

1. Motivation

The long-run picture

[Figure: Male and Female LFPR, US, 1950–2024
Source: FRED, BLS]

- Female LFPR rose from 33% (1950) to ∼58% (2024)
- **Since ∼2000: gains have stalled**
- Male LFPR declining; female LFPR flat
- No country has female LFPR exceeding male [12, 14]

The puzzle

If institutional barriers have fallen [9, 10], why has progress stalled?

Where women have stopped gaining

- Female gains came primarily on the **extensive margin** (more women entering) [14]
- Today: US women now exceed men in college attainment (47% BA/BS vs. 37% for men; Pew 2024)
- Women earn more than men in 22 metro areas (Pew 2022)
- And yet: **no country has seen female LFPR cross male LFPR**

US is anomalous

Women's participation still growing in most OECD countries. US stagnated earlier and is farther behind — not explained by religion or institutions alone.

Implication

The barrier today is not a broken ladder or glass ceiling preventing entry — it constrains *how much* women work.

Research question

Do persistent gender norms materialize in women's US labor market decisions today — and is the norm stronger where households can *afford* to enforce it?

2. What we know

How women entered the labor force

Recall the evidence on the rise in female LFPR (extensive margin), adapted from **(author?)** [9, 10]:

- Development of birth control
- Removal of legislation prohibiting women from teaching and clerical jobs
- Title IX and women's workplace protections
- The Equal Pay Act and Civil Rights Act
- Rising access to education; mainstreaming of the dual-income household

Today: institutional barriers have largely fallen. *Something else* is now holding the intensive margin down.

Evidence is building that norms play a role

- ⇒ Norms have been neglected in economics because they are incompatible with modeling preferences cleanly [11]
- ⇒ Gender norms influence Japanese households to shift female labor toward domestic work to minimize household cost [13]
- ⇒ Gender norms constrain economic growth in developing countries, like a poverty trap [7]
- ⇒ Historical evidence from America's frontier shows the **persistence of gender norms** in areas that were once homesteader populations [3]
- ⇒ Masculinity norms persist when the sex ratio favors men [2]

The breadwinner norm: Bertrand, Kamenica & Pan (2015)

(author?) [4] document that **US couples systematically avoid the wife out-earning the husband**:

- Sharp drop in couple density at $z = 0.5$ (wife's share of household earnings)
- When wife earns more: lower marriage rates, higher divorce, lower female LFPR
- Effect robust across demographics and time periods (CPS/Census, 1970–2013)
- **Reported uniformly across the income distribution**

[BKP Table II —
Wife in labor force ~ PrWifeEarnsMore]

Gap in BKP

They do not test whether the threshold effect varies with *household income level*. We fill this gap.

3. A new narrative

A five-point historical arc

1. Women gained exposure to work to fulfill a patriotic duty under WWII
2. Returned home under booming postwar conditions (rising GDP, low inequality, government encouragement of homeownership)
3. Institutional transformations (Goldin 1992) and rising opportunity cost of having children drove female LFPR up from the 1970s onward
4. 1980s–2000s: rising wage inequality forced **dual-income necessity** at middle incomes — economic constraints overrode norm at Q1–Q3
5. Today: top incomes have exploded; at the top quintile, the "price" of norm enforcement (foregone female income) is once again affordable

Key implication: the norm did not change — *who can act on it did.*

Wealth inequality re-stratified norm enforcement

1950s–1960s (low inequality)

Breadwinner arrangement broadly affordable.
Norm had roughly uniform bite across middle class.

1980s–2000s (rising inequality)

Dual-income becomes economic necessity for Q1–Q3.
Economics override the norm at middle incomes.
Norm appears to go dormant.

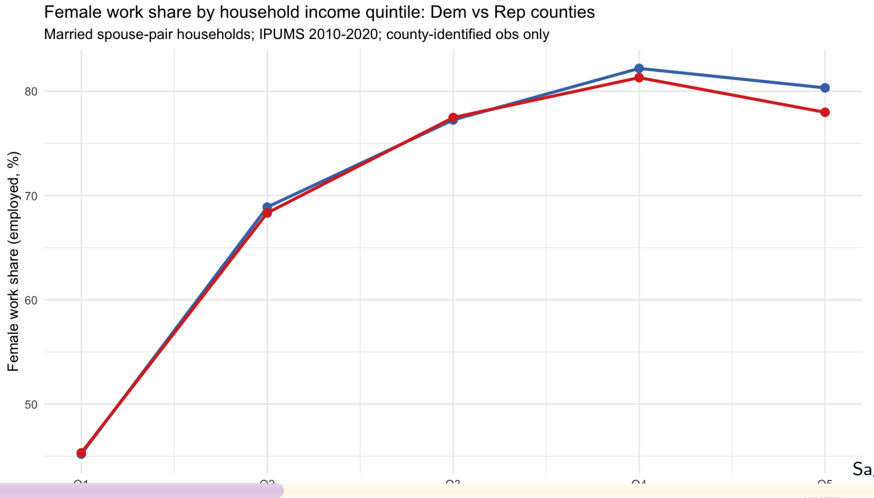
2010s–2020s (high inequality)

Top quintile income explodes.

- BKP (2015) data run to 2013 — they find a uniform average effect
- That average is dominated by Q4–Q5 households
- The income-elastic pattern would be invisible if not stratified
- **New prediction:** BKP avoidance behavior should be increasingly top-concentrated as inequality rises
- Testable in 1980–2023 IPUMS data: run BKP density ratio by income decile and

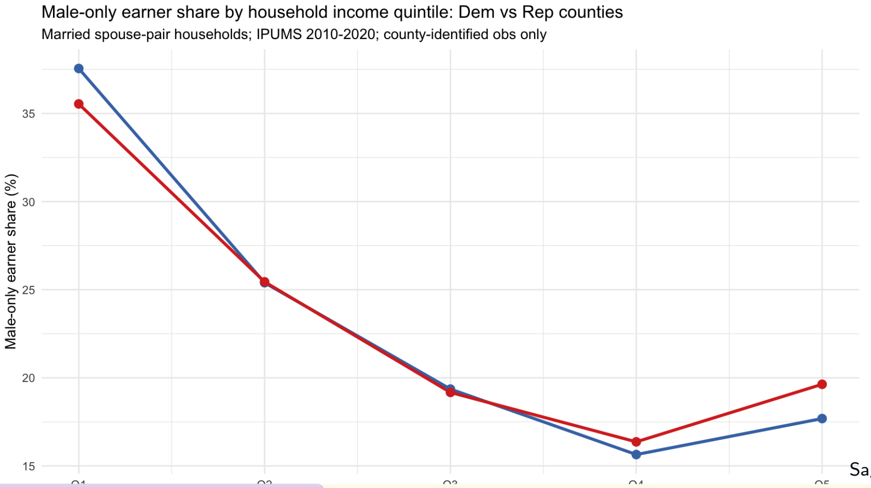
4. The income-elastic norm: stylized facts

Female working share by HH income quintile, Democrat vs. Republican counties, IPUMS 2010–2020



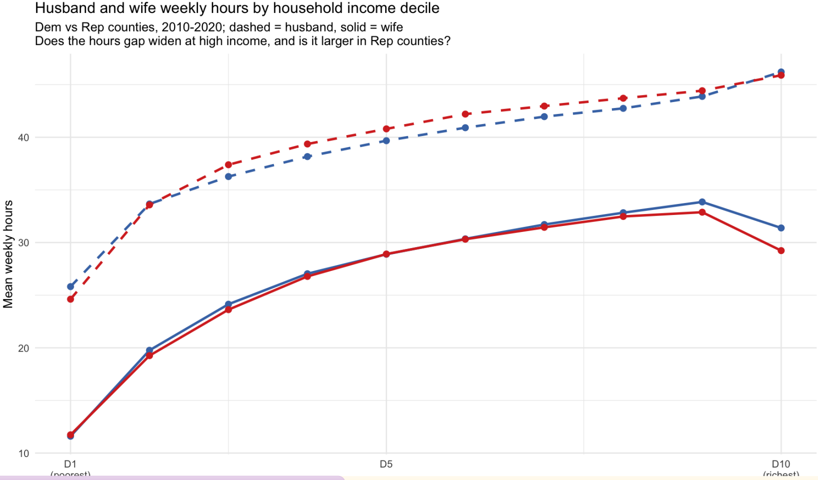
Stylized fact 2 — male-only earner re-emerges at the top

Share of male-only earner households by income quintile, Democrat vs. Republican counties



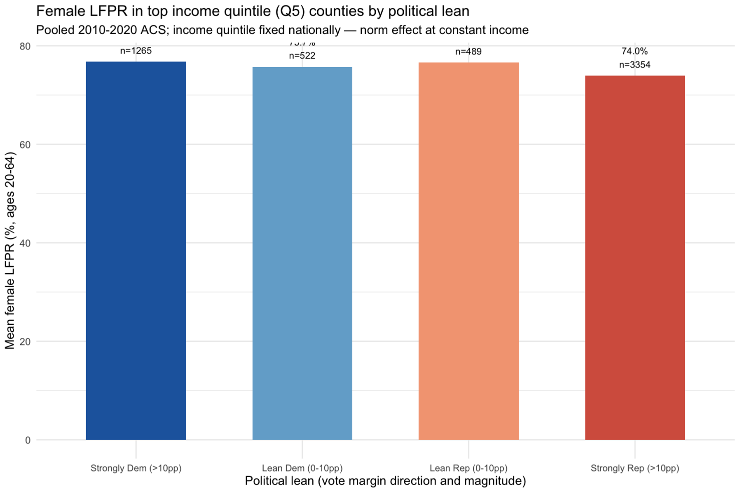
Stylized fact 3 — the norm is entirely on the wife's side

Weekly hours by income decile — husband (dashed) and wife (solid), Democrat vs. Republican counties



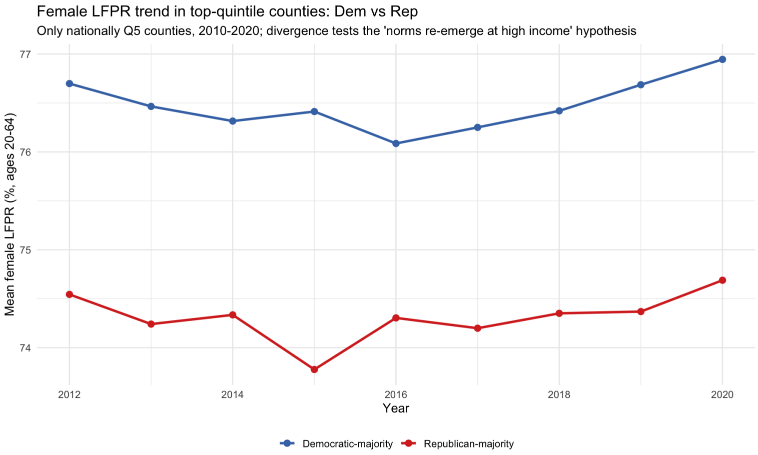
Stylized fact 4 — gap requires a strong political signal

Q5 county female LFPR by political lean



Stylized fact 5 — the gap is persistent, not converging

Q5 county female LFPR trend, Democrat vs. Republican, 2012–2020

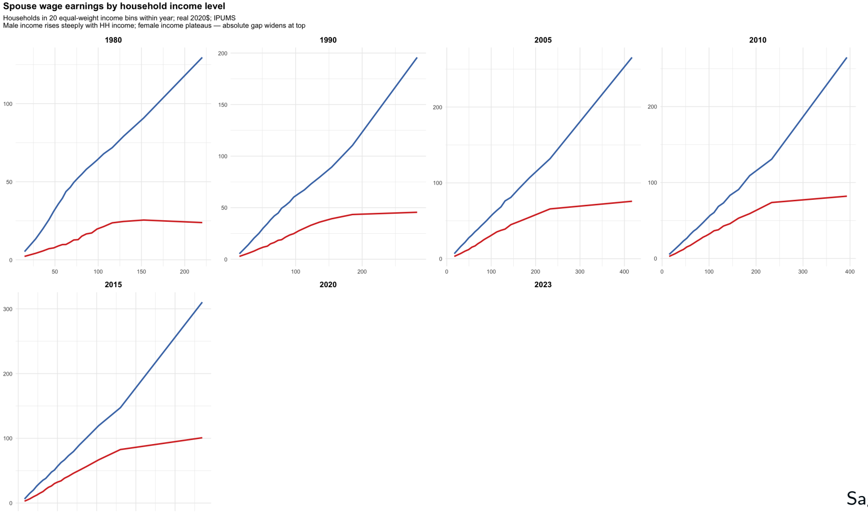


- Dem counties Q5: stable ~76–77%; Rep counties Q5: stable ~74–74.5%

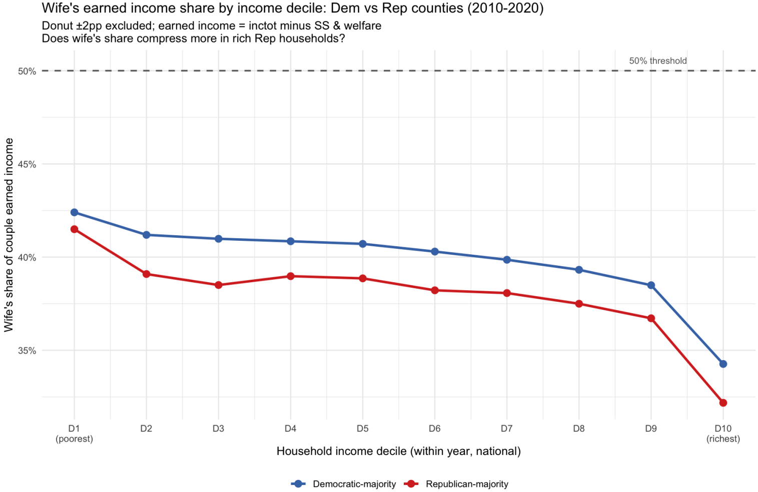
5. Evidence for the mechanism

Her threat point weakens exactly where the norm operates

Spousal income (no transfers) vs. log(HH income), by anchor year

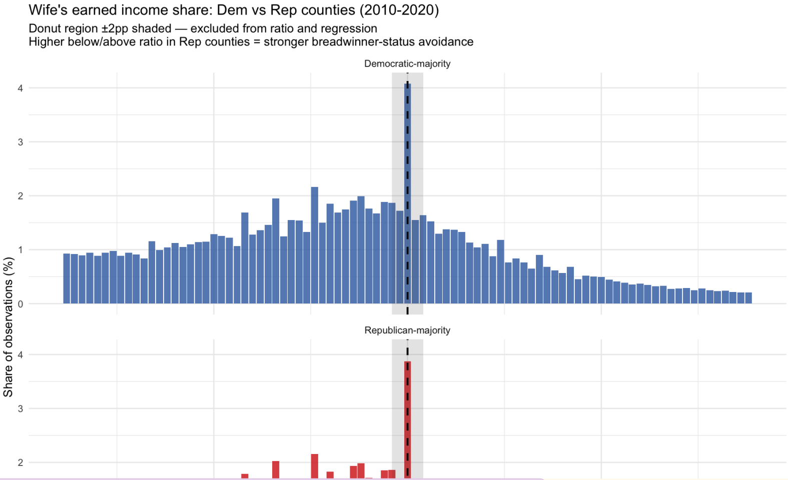


Wife's share of couple earned income, Democrat vs. Republican counties



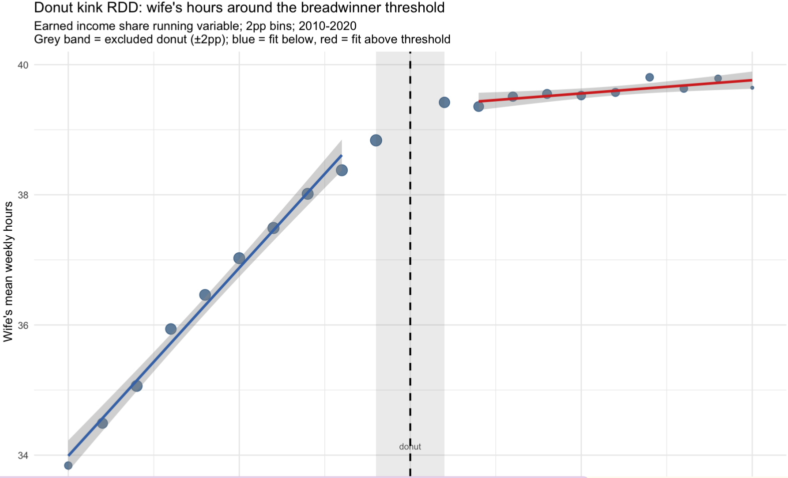
Avoidance behavior at the breadwinner threshold

Density of wife's earned income share (z_{earned}), Democrat vs. Republican counties — donut ± 2pp at $z = 0.5$



Kink RDD: wife's hours collapse at the breadwinner threshold

Kink RDD on wife's weekly hours — running variable z_{earned}, donut $\pm$2pp, bandwidth $\pm$20pp



6. Model

Departure from existing models

Existing norm models

(author?) [1], **(author?)** [6], **(author?)** [8], **(author?)** [5]:

- Norm strength τ is a fixed cultural parameter
- Transmitted across generations; varies by county or group
- Does not interact with household income

Prediction: uniform gap across income distribution within conservative counties.

Our departure

Norm penalty is **income-elastic**: $\theta(\tau, y)$ increasing in both norm intensity τ and household income y.

Interpretation: a richer conservative household can *afford* to enforce the norm — the foregone income of the wife is small relative to total household resources.

Prediction: zero gap at low income; positive and growing gap at high income — exactly what we observe.

Model: joint utility with income-elastic norm penalty

Setup: Two agents (H, W); household jointly maximizes utility.

$$U = u(c) - v(l_H) - v(l_W) - \theta(\tau, y) \cdot \mathbf{1}\left[\frac{y_W}{y_H} \geq 1\right]$$

where c = consumption, l_i = labor hours, y_i = individual earned income, τ = cultural norm intensity (county political lean), $y = y_H + y_W$.

Norm penalty:

$$\theta(\tau, y) = \underbrace{\tau}_{\text{norm intensity}} \times \underbrace{g(y)}_{\text{increasing in } y}$$

At low income: $g(y) \approx 0 \Rightarrow$ economics dominate $\Rightarrow$ zero gap.
At high income: $g(y)$ large $\Rightarrow$ norm operates $\Rightarrow$ positive gap.

Enforcement: Both spouses internalize θ [1] — norm is not an external constraint but a shared identity cost, reinforced by in-group culture.

Model predictions vs. data

Model predictions

1. Zero gap at Q1–Q3: $\theta(\tau, y_{\text{low}}) \approx 0$
2. Positive gap at Q4–Q5: $\theta(\tau, y_{\text{high}}) > 0$, increasing in τ
3. Wife's hours kink at $z = 0.5$, sharper in high-τ counties
4. Husband's hours: unaffected by τ or income (his outside option grows, but the identity cost falls on the wife)
5. Gap strengthens over time as top-quintile income rises (via $g(y)$)

Calibration targets

Moment	Value
Work share gap Q1	0pp
Work share gap Q5	2.35pp
Hours gap D10 (Dem)	14.8 hrs
Hours gap D10 (Rep)	16.7 hrs
BKP ratio (Dem)	1.42
BKP ratio (Rep)	1.50
Kink hrs/pp	-25.2

7. Next steps

Identification strategy

Causal identification: school board elections (Ballotopedia)

- Descriptive evidence is consistent with norm suppression, but cannot rule out time-invariant sorting or industrial composition
- **Planned event study:** close elections to conservative school boards shift county-level gender norm environment
- Outcome: female LFPR, wife's hours, wife's earned share — at the household level, stratified by income decile
- **Expected pattern under income-elastic norm hypothesis:** a conservative school board win should have zero effect at Q1–Q3 and a negative effect on wife's hours/LFPR at Q4–Q5

Additional robustness:

- RDD political interaction: is the kink in wife's hours sharper in strongly Republican counties? (designed, not yet run)
- Better norm proxy: CCES county-level gender attitudes (direct survey items on

Takeaways

1. **New stylized fact:** the conservative-liberal LFPR differential is zero below the top income quintile and concentrates sharply at Q5. This income-elastic pattern has not been previously documented.
2. **The norm is on the wife, not the husband:** at D10, wives in Republican counties work 2.2 fewer hours per week than in Democratic counties; husbands are virtually identical.
3. **Breadwinner threshold:** replicating and extending BKP (2015), a kink of -25.2 hrs/pp at $z = 0.5$ (wife's earned share), stronger avoidance in Republican counties (ratio 1.50 vs. 1.42).
4. **Model departure:** existing models treat norm strength as fixed. We propose an income-elastic norm penalty $\theta(\tau, y)$, consistent with rising wealth inequality re-stratifying who can enforce the norm.

Questions?

Section 8

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